

TERMS OF REFERENCE

Including particular conditions for the assessment of management systems by Halal Development Institute and Development, herein after termed "HDIP", with its contracting partners, hereinafter termed "client" or "clients".

1. **Scope**

1.1 These conditions apply to contracts agreed between HDIP and its clients, unless it is otherwise agreed in writing or so prescribed by statutory instruments.

1.2 In the following text, audits and assessments are referred to as "assessments", Auditors, assessors and Technical Experts are referred to as "assessors" and reports on audits and assessments are referred to as "assessment reports".

2. **Assessment of Halal Management System, Products and Processes**

2.1 HDIP assesses the processes, products and management system of its client, or parts thereof, with the goal of determining its conformity with Islamic rites and specified requirements, including the effectiveness of the system. The client receives an audit report and a HDIP certificate or confirmation.

2.2 HDIP is independent, neutral and objective in its assessments. Assessments are performed at the client's place of operations. The type, extent and time schedule of the procedure are subject to separate agreement by the parties. If nonconformities with Islamic rites and the requirements of the respective specification are identified during an assessment, the corrective actions must demonstrably be carried out by the client within the time frame specified in the reference document or by an appropriate agreed deadline, before a HDIP certificate can be issued. HDIP strives to minimize any disturbances of the business process while conducting the assessment on the client's premises.

2.3 Porcine and its derivatives may not be used in the facility that produces Halal products.

2.4 Where Ovine, Bovine, Caprine, Cervine and Avian slaughtering and processing takes place:

2.4.1 The correct number of Muslim delegates shall be maintained in accordance with HDIP requirements and importing country requirements such as GSO 993, MS1500:2011

2.4.2 Slaughter and stunning procedures must be adhered to as per GSO 993, MS1500:2011

2.4.3 Stunning methods (such as electric shock and gassing) are not acceptable in the GSO 993 for poultry and therefore processed poultry used in goods cannot be accepted into the Gulf Countries.

2.4.4 Captive Bolt as a stunning method is not acceptable as Halal for any animal

2.5 All equipment, machinery, utensils, stoves, receptacles, benches and ovens used for Halal goods preparation shall be cleaned prior to use under the overall supervision of the Site Manager or their appointee.

2.6 Storage and preparation areas reserved for the preparation of Halal goods shall be segregated

2.7 Storage, preparation, heating and/or cooking of Halal goods shall be carried out under the overall supervision of the Site Manager or their appointee.

2.8 Halal and non-Halal goods shall not be prepared, mixed, cooked or heated in/on the same equipment at the same time.

2.9 All raw, frozen, dried, processed and prepared ingredients required for the preparation of Halal goods, shall be acquired from suppliers approved by HDIP and kept segregated in storage from non-acceptable ingredients.

2.10 Any product, ingredient or ready-made goods not approved by HDIP shall not be used in the preparation of Halal goods.

2.11 The HDIP requirements for specific industry types are adhered to as per importing country standards such as GSO 993, GSO 2055, MS1500

2.12 Abide by Food Safety requirements set out in importing country requirements i.e. GSO 993, GSO 2055, MS1500 and other country standards

2.13 Cosmetics, Personal Care and Pharmaceuticals under the standards of Therapeutics Goods Administration shall adhere to Importing country Food and Drug Authorities such as GSO2055

2.14 GSO 2055 standards require

2.14.1 Food additives shall use its functional name beside the international number i.e. "Colors E120"

2.14.2 GMO, rennet, whey, gelatin, oil, fats shall be declared on the label and its source.

2.14.3 Fish with scales and their by products shall be labelled as 'scaled fish'. All other aquatic animals shall be labelled 'non-scaled fish'.

3. Certification Cycles

3.1 The Halal Certification period is 3 years subject to annual surveillance audits in Year 1 and Year 2 and recertification in year 3

3.2 Certificates shall be subject to update after each surveillance audit.

3.3 HDIP has a certification period starting from 1st January 2017 to 31 December 2019 and every 3 year the certification periods shall be ongoing.

4. Audits

4.1 Selection of Auditors

4.1.1 The number and choice of auditors is incumbent upon HDIP, who will nominate the auditors (Sharia and Technical).

4.1.2 HDIP commits itself to use only auditors who are suitable for the task on the basis of their understanding of Islamic rites and technical qualifications, their experience and their personal abilities.

4.2 Audit Confirmations/ Re-scheduling/ Cancellations

4.2.1 Clients will be advised of scheduled audits via email and shall be confirmed or rescheduled by return email.

4.2.2 Should the client not respond, the audit shall be assumed as confirmed.

4.2.3 Cancelling or rescheduling the audit within fourteen (14) days of the scheduled audit will cause the cost of the audit stated in the Audit Plan as a cancellation fee.

5. Use of HDIP Trademarks and Certificates

5.1 The use of the HDIP trademark is governed by HDIP, protected by Intellectual property laws, and requires HDIP approval, subject to the following conditions:

(a) Certified clients must obtain approval by HDIP for the use of the HDIP trademark on packaging, vehicles, stationary, product specifications, literature, publicity material and any other material relating in whole or in part to the certified company's scope of certification;

(b) The HDIP trademark shall only be used by approved clients' own products.

(c) HDIP Halal certificates issued to the contract manufacturer cannot include Third party brand names unless the brand owner has also directly applied for Halal certification to HDIP and been approved with a certificate registered in their name.

(d) HDIP Trademark shall not be used on products made by a contract manufacturer for a third party unless the brand owner has applied for Halal certification and is approved by HDIP with a certificate registered in their name.

(e) The HDIP trademark shall not be used in any way that may be interpreted as denoting approval or conformity, if only the processes within management system of the certified company have been certified.

(f) The HDIP trademark shall meet the required specifications as per the approved HDIP standard.

(g) The HDIP trademark shall be printed clearly on all certified Halal products and labelled on each box/package.

(h) HDIP Clients are allowed to print the colored HDIP trademark suitable to its packaging as long as it does not change the original specification(s) of the trademark.

(i) The HDIP trademark/certificate shall be exhibited only at the entrance of the certified establishment. Certificates shall only be displayed at the address mentioned on the certificate;

(k) The certificate holder shall not reproduce the granted Halal certificate in part and/or in a way that would hinder the legibility, nor shall tamper with the original copies or photocopies of the Halal certificate. The certificate holder shall not translate the certificate and/or test reports in other languages without the control and consent of HDIP.

(l) If there is evidence of misusing HDIP's trademark, HDIP reserves the right to raise corrective actions, withdraw the certificate, publicize the transgression and if necessary, take appropriate legal action.

(m) By entering into an agreement with HDIP, the client agrees to follow the rules of the HDIP trademark and certificate.

(n) An electronic copy of the HDIP trademark shall be supplied to the client when requested.

(o) The HDIP trademark shall be no less than 9mm in diameter when printed on the client's labels and shall be printed one color. Written permission shall be sought to approve and print the label and packaging.

(p) The HDIP trademark shall only be used on products manufactured during the certification period indicated on the certificate. Should the revision date have lapsed on the Halal certificate, the product carrying the HDIP trademark cannot be used;

(q) HDIP Certificates and trademarks may be used for promotion. Such use is restricted to the scope and the period of validity of the certification. HDIP

trademark shall not be attached to a non-conforming product that does not comply with clause 6;

(r) HDIP certificate and trademark shall not be transferred to successors in title, new owners or other organizations or new acquisitions.

(s) HDIP certificates shall be produced without changes when given to a third party.

(t) After certification has been cancelled, suspended, withdrawn or annulled, the client shall desist from any promotion, making use of the certification and HDIP trademark. The client's right of retention is precluded and shall desist from using the HDIP certificate/s following cancellation, suspension, withdrawal, or annulment. The QR code will render the electronic HDIP certificate invalid.

(u) The client shall never use the HDIP trademark and/ or certificate/s in such a way as to undermine the reputation of HDIP;

(v) HDIP trademark and certificate/s shall be used in accordance with strict provisions stipulated by HDIP and never in any misleading manner;

5.2 Product exported to the UAE bearing the HDIP trademark shall also bear the ESMA mark as per ESMA requirements.

5.3 Products exported to Malaysia shall bear the HDIP trademark on products as per JAKIM requirements.

Breaches of Certification

6.1. Non-Conformities

6.1.1 HDIP may only issue certificates if all Halal requirements have been fulfilled following the audit (initial/re-assessment). In case of non-fulfilment, HDIP will document the shortcomings, changed conditions and/or restraints in a nonconformity report provided to the client which must be complied with in order for a certificate to be issued.

6.1.2 All nonconformities or restraints must be eliminated or complied with in the stipulated time of the Corrective Action Request Form or by the HDIP Auditor.

6.1.3 If necessary, HDIP will repeat the audit in full or in part. The resulting costs will be invoiced in accordance with the current price list, based on the effort required.

6.2. Suspension

6.2.1 HDIP is entitled to suspend a certificate for a limited period of time if the client demonstrably violates Islamic rites, halal rules and contractual or financial obligations towards HDIP, particularly if:

- a) Corrective actions to the products and processes have not been demonstrably and effectively implemented within the agreed-upon time frame;
- b) The appointments suggested by HDIP for audits necessary for the maintenance of the certification have not been complied with and the usual time limit of twelve months since the previous assessment has thereby been exceeded;
- c) HDIP has not been informed in a timely manner about planned changes and other changes which affect conformity with the Halal specifications which form the basis for the certification;
- d) A HDIP certificate or a trademark has been used in a misleading manner and not in accordance with strict provisions stipulated by HDIP.

6.2.2 In such circumstances, HDIP shall first announce a possible suspension in writing. If the reasons for the suspension are not eliminated within two weeks, HDIP informs the client in writing about the suspension of the certification stating the reasons as well as the corrective actions necessary for the certification to be reinstated. Certifications are suspended for a restricted period (usually a maximum of 90 days). If the required measures have been implemented demonstrably and effectively by the established deadline, the suspension of the certification is cancelled and certification reinstated.

6.3. Withdrawal

6.3.1 HDIP is entitled to withdraw certificates, publicize it on their website and notify relevant authorities after giving written notice of intent or declare them invalid it:

- a) The suspension period of the certificate has been exceeded,
- b) The conformity of processes and products with Halal specification on which it is based is not ensured;
- c) The client continues to use the certification for promotion following the suspension of the certificate;
- d) The client uses the certification in such a way as to undermine the reputation of the certification body;
- e) The preconditions which led to issuing the certificate no longer apply or the client is not prepared to eliminate nonconformities;
- f) The client effectively terminates the contractual relationship with HDIP
- g) Non-compliance with these Terms and Conditions of Certification including non-payment for HDIP services within agreed trading terms.

6.4. Annulment

6.4.1 HDIP is entitled to annul certificates, or retroactively declare them invalid, if:

- a) It subsequently turns out that the preconditions required for issuance of the certificate had not in fact been fulfilled;
- b) The client has compromised the certification procedure so that the objectivity, neutrality or independence of the assessment result is in question.

7. Appeals and Complaints

7.1 Every client has the right to have services performed within the agreed scope in such a way that expectations and requirements are fulfilled. In case of non-fulfilment, HDIP requests information necessary for improvements. In case of a difference of opinion with assessors or HDIP itself, each client has the right to submit an appeal or a complaint against a decision via email hdipphilippines@gmail.com or phone +63 917 980 6317.

7.2 In the first instance, complaints should be expressed verbally or in writing to the President of HDIP. If a solution cannot be worked out between the client and the CEO, as a next level the HDIP Impartiality Committee may be appealed to in writing. A failure to resolve complaint after detailed consideration may be referred for judicial arbitration.

8. Arbitration

8.1 In the event of failure to resolve a major complaint through the process outlined in the clause 7: 'Appeals and Complaints', an independent arbitration may be deployed. This is particularly relevant to case of serious complaints and in cases of dispute over evaluations or the issue, suspension or withdrawal of a certificate. Prerequisite for independent arbitration is an agreement by both parties to have the matter in dispute resolved without resorting to any further legal action (arbitration agreement), along with a jointly-prepared written presentation of the situation.

9. Jurisdiction and Applicable Laws

9.1 Court of jurisdiction is New South Wales and the NSW law applies in all respects.

10. Diverging Agreements

10.1 Diverging or supplementary agreements have to be made in writing. Should any individual provision or any part of any provision be or become void, illegal or unenforceable, the validity of the remaining provisions hereof shall in no way be affected. In such cases, the void and/or illegal and/or unenforceable provision or provisions shall be replaced by relative provisions coming as close as possible to the sense and spirit and purpose of this agreement.

11. Additional Conditions

11.1 In addition to the provisions stipulated above, specific requirements of individual standards or specifications and their complementary interpretations obtain in their current versions.

11.2 Clients shall be given one calendar months' notice of any changes to the Terms & Conditions.

12. Management of Impartiality

12.1 In order to uphold confidence in and integrity of the independent Halal certification, the HDIP management is committed to maintenance of impartiality throughout the certification process. We fully understand the importance of impartiality in carrying out our Halal certification activities, managing potential conflicts of interests and ensuring the objectivity of the entire process. Our certification decisions shall be based on objective evidence of conformity or otherwise obtained during audits and our decision shall not be influenced by any other interests or by other parties. HDIP compliance with this requirement is overseen and reviewed by the independent Impartiality Committee conducting periodic audits of our management of impartiality.